



# IS 4108- IS Strategies

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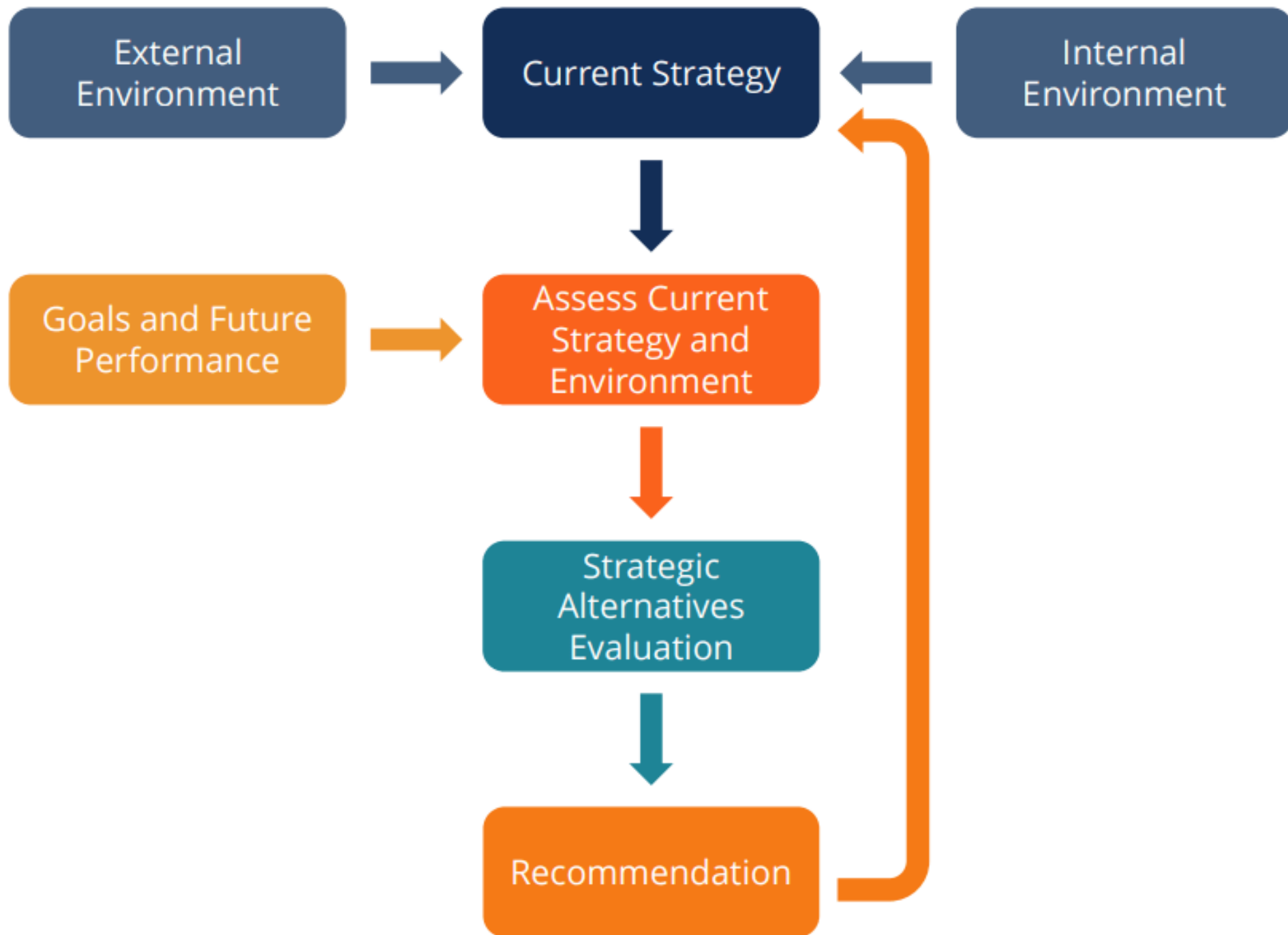
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LECTURE 04- IS STRATEGIC ANALYSIS

# What is meant by a Strategic Analysis?

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IS Strategic Analysis is the process of evaluating how Information Systems (IS) support and shape an organization's business strategy, competitive position, and long-term goals.



# Why a Strategic Analysis?

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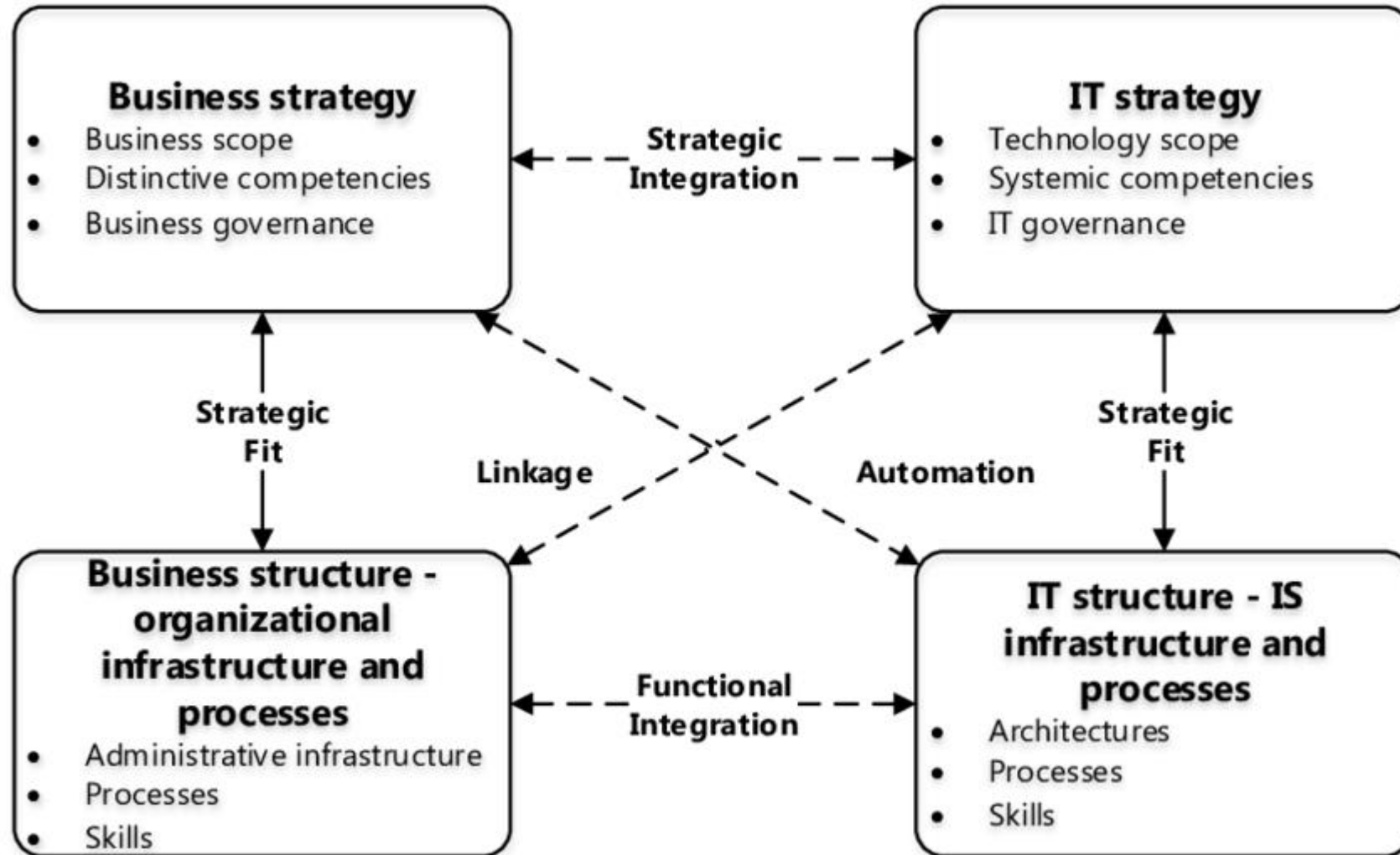
- Ensures alignment between IT capabilities and business objectives
- Identifies opportunities for competitive advantage through technology
- Evaluates both internal IS resources and external digital environment
- Supports strategic decision-making and planning
- Helps organizations respond to technological changes and disruptions
- Focuses on improving efficiency, innovation, and value creation

# Why a Strategic Analysis?

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# SAM (Strategic Alignment Model)

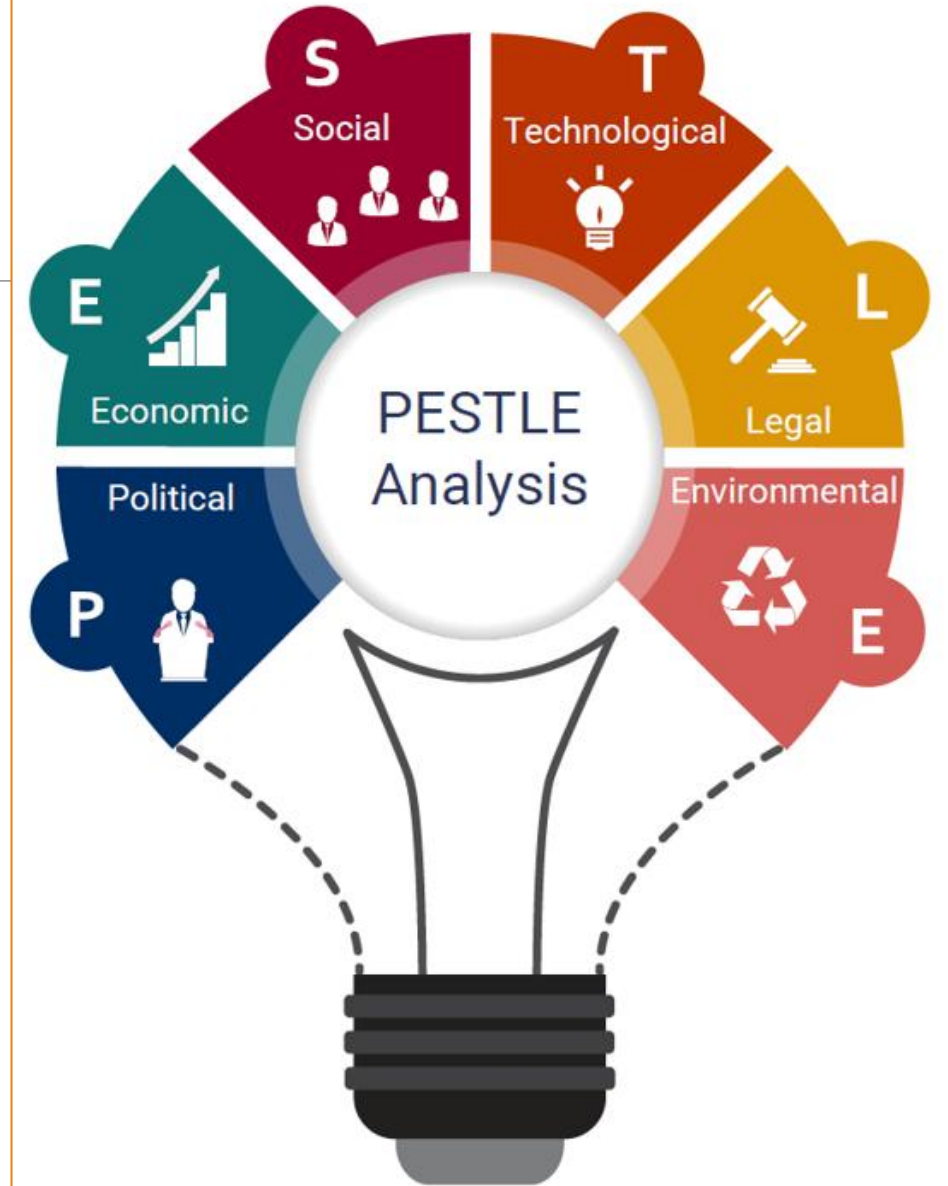
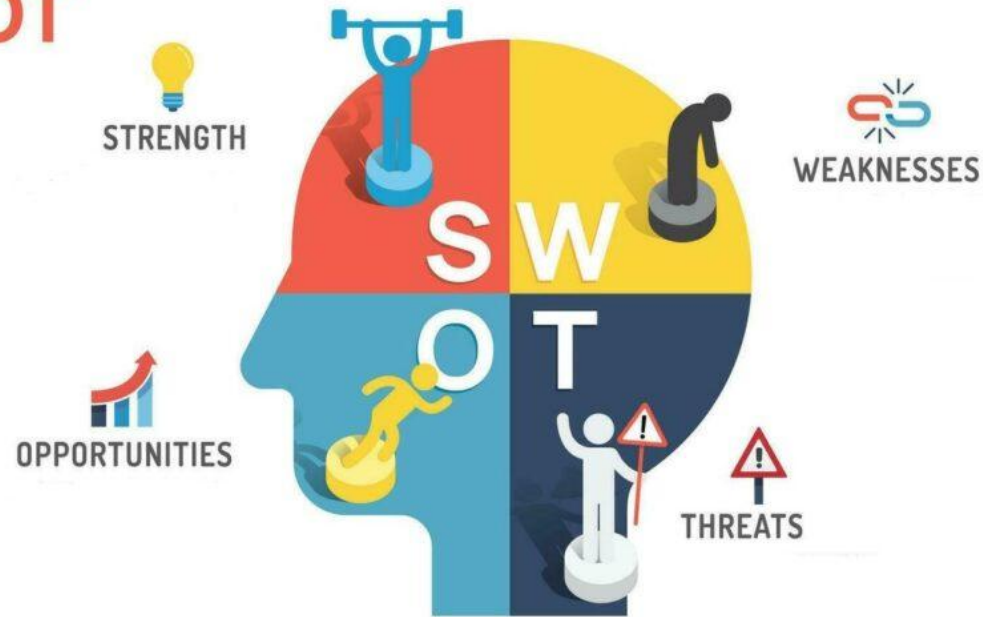


SAM is to ensure organizational effectiveness by connecting business strategy, IT strategy, organizational infrastructure, and IT processes. It aligns internal operations with external competitive demands to optimize resources, enhance decision-making, and ensure IT enables business goals, fostering sustained competitive advantage and growth



# IS Strategic Analysis Frameworks

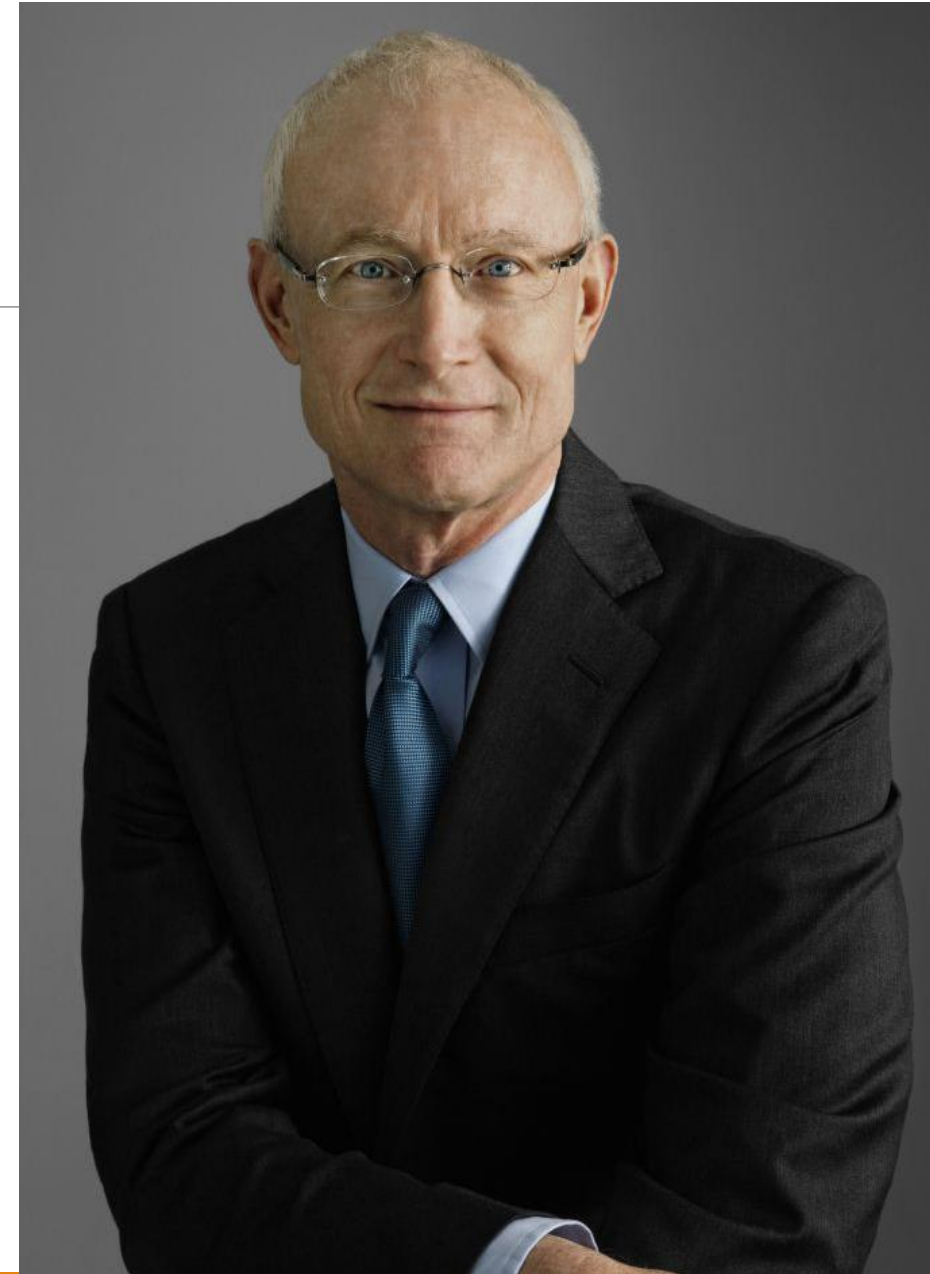
## SWOT





# Porter's Five Forces Model

Porter's Five Forces is a strategic model developed by Michael E. Porter to analyze an industry's competitiveness, attractiveness, and profit potential.



### Threat of New Entry

- Time and cost of entry
- Specialist knowledge
- Economies of scale
- Cost advantages
- Technology protection
- Barriers to entry

## Threat of New Entry

### Competitive Rivalry

- Number of competitors
- Quality differences
- Other differences
- Switching costs
- Customer loyalty

## Supplier Power

### Supplier Power

- Number of suppliers
- Size of suppliers
- Uniqueness of service
- Your ability to substitute
- Cost of changing

### Threat of Substitution

- Substitute performance
- Cost of change

## Threat of Substitution

## Buyer Power

### Buyer Power

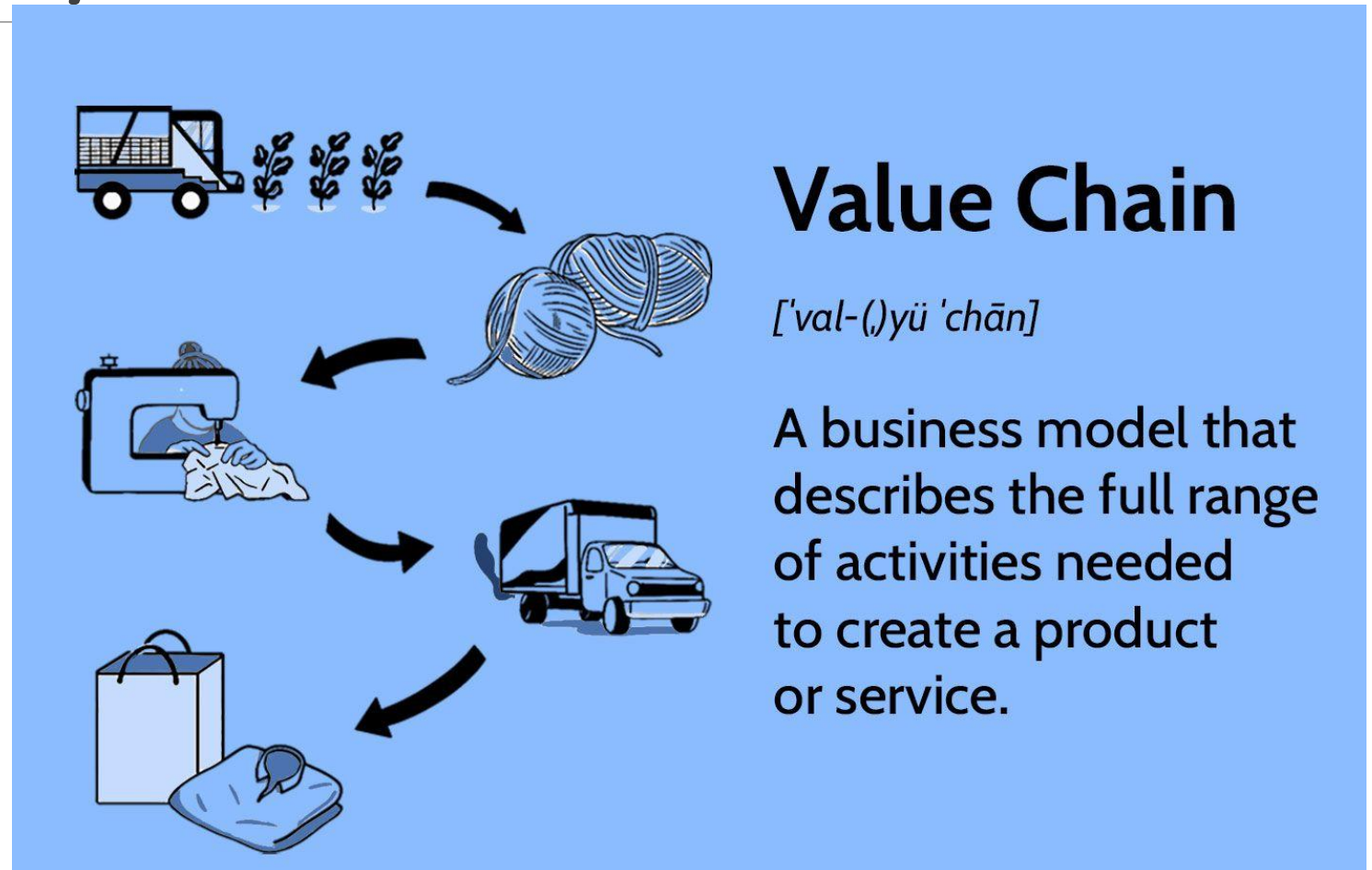
- Number of customers
- Size of each order
- Differences between competitors
- Price sensitivity
- Ability to substitute
- Cost of changing

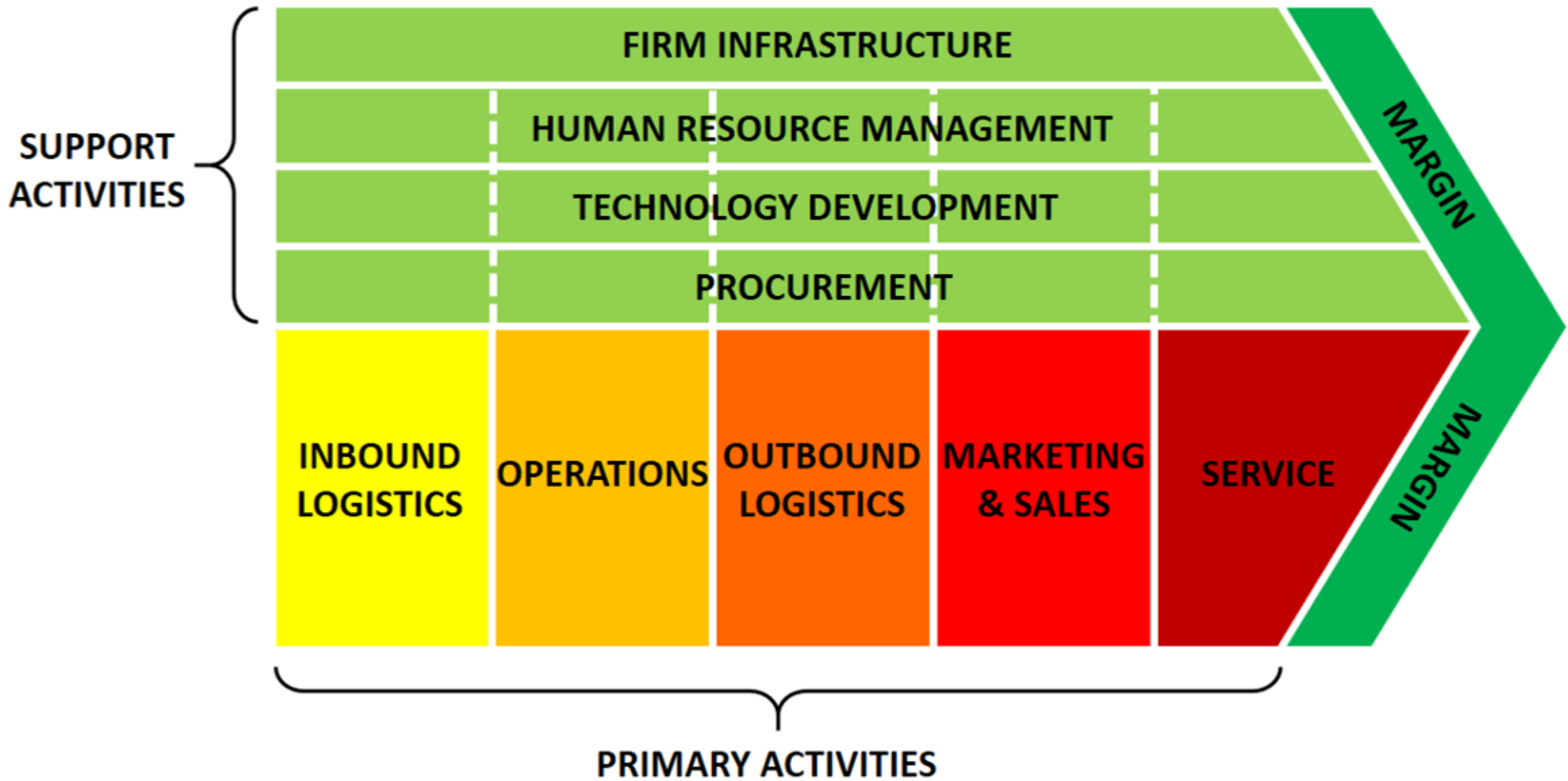
## Competitive Rivalry

# Value Chain Analysis

Value chain analysis is a strategic framework used to evaluate, break down, and optimize a firm's operational activities; from raw materials to final delivery—to maximize customer value, increase efficiency, and gain a sustainable competitive advantage.

**It identifies cost-saving opportunities** and areas to increase differentiation.









# IS Strategic Analysis in Value Chain Analysis

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- How can IS reduce costs?
- How can IS improve customer experience?
- How can IS optimize operations?
- How can IS improve alignment with Business functions and goals?
- Can IS create new business models?